

DEMAND SHOULD CONTRIBUTE LESS TO INFLATION IN 2026 THAN IN 2022 IN THE EUROZONE AND THE UNITED STATES

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Will a different situation lead to different outcomes? In other words, will the combination of weaker demand and more moderate supply constraints in 2026, as compared to 2022, help to limit the rise in inflation? Having illustrated the impact of the energy shock caused by the war in the Middle East on six key variables in the Eurozone ([see here](#)), we now move on to a new comparison between these two dates, this time focusing on the relative levels of supply and demand issues. In the Eurozone, weaker demand has resulted in a more pronounced decline in inflation, unlike in the United States, where both demand and inflation have remained more sustained. In both regions, business climate surveys have recently shown a deterioration in some supply-side indicators (input prices), while demand indicators have not weakened yet. This asymmetry is likely to push inflation upwards in the coming months, albeit to a lesser extent than in 2022.

In the Eurozone, demand constraints are limiting the production, but supply constraints remain significant

PERCENTAGE OF BUSINESSES FACING DEMAND OR SUPPLY FACTORS
LIMITING THEIR PRODUCTION

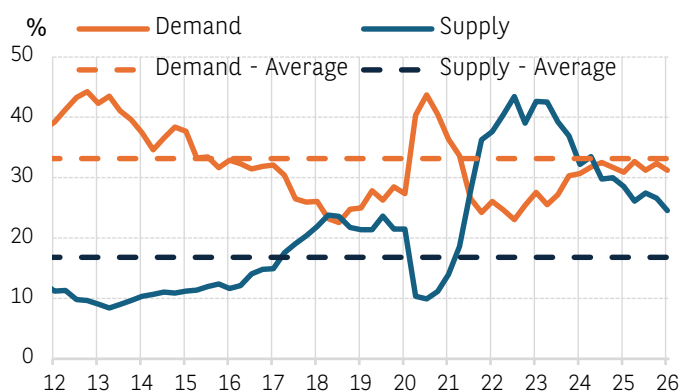


CHART 1

SOURCE: DG ECFIN, BNP PARIBAS

In the US, demand is contributing a bit more to inflation

DEMAND AND SUPPLY CONTRIBUTIONS TO PCE INFLATION

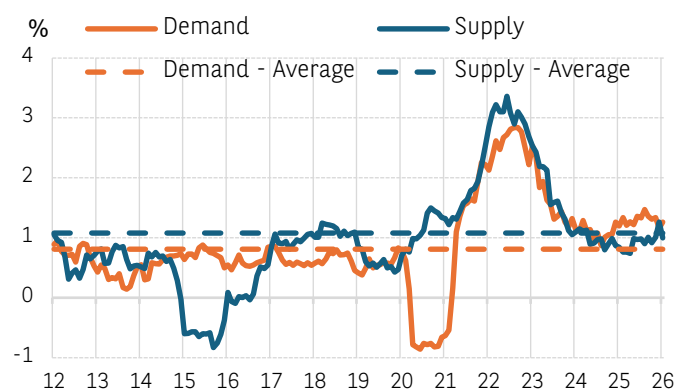


CHART 2

SOURCE: BEA, BNP PARIBAS

In the Eurozone, demand is exerting a downward pressure on inflation, unlike in 2022. The European Commission's survey shows to which extent supply constraints (such as shortages of inputs or labour, which drive inflation upwards) or demand constraints (which limit inflation) are affecting business output. The increase in supply constraints and the decrease in demand constraints, typical of the post-Covid period, were two factors that contributed to the acceleration of inflation at the time (10.6% y/y at its peak in October 2022). The level of these constraints in January 2026 allows for cautious optimism (*see Chart 1*). The lack of demand has exerted a greater influence than supply since mid-2024, while supply-side constraints have continued to ease. This trend has allowed inflation to return to the ECB's 2% target. However, it has not fallen below this target, as supply constraints, despite their reduction, remain significantly higher than the historical average. Furthermore, while harmonised inflation rose by 0.6 percentage points to 2.5% year-on-year in March (at this stage, only due to the rise in fuel prices), the conflict in Iran could well trigger a resurgence of these constraints, as indicated by the rise in input price indices in business climate surveys. These same surveys do not currently indicate that these pressures are being passed on to selling prices by the end of Q2, but this may occur in the longer term, which would then suggest a rebound in core inflation.

In the United States, demand plays a more significant role in inflation, but less so than in 2022. In the absence of a survey similar to that conducted by the European Commission, we use a different method to compare the impact of supply and demand (*see Chart 2*): we examine the direct contributions of supply and demand to inflation dynamics based on a breakdown between these two factors, as provided by the Bureau of Economic Analysis ([using a methodology developed by A. Shapiro from the San Francisco Fed](#)). Although significantly lower than in 2022, the contribution of supply to inflation is not negligible and plays roughly the same role as in 2018–19. These constraints even appear to have increased slightly since the Trump administration's tariff hikes and are likely to rise further with the recent rebound in input prices and delivery times. The contribution of demand to inflation continues to be more substantial, reflecting the resilience of consumption (and its post-Covid outperformance; [see our analysis](#)). However, this momentum has been moderating in recent months, against a backdrop of a deteriorating labour market.

Inflation is expected to rise due to increased supply constraints, before easing. In both regions, the war in Iran is likely to trigger a resurgence in supply constraints, although probably less than in 2022. Nevertheless, these constraints are expected to push inflation higher, while the negative effects of the conflict on demand would take longer to materialise, as would their disinflationary effects.

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EDITORIAL

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REFINED PETROLEUM PRODUCTS: SHOULD WE BE WORRIED ABOUT SHORTAGES IN EUROPE?

The war in the Middle East has caused significant disruptions in the market for refined petroleum products, affecting not only Asia but also Europe. For the time being, the situation in Europe remains under control, largely thanks to stock levels that provide visibility for around one month. Nevertheless, Europe's dual reliance on suppliers in the Gulf and Asia calls for caution. Supply status in the European market will be influenced by geopolitical developments in the Gulf and whether Asian producers choose to prioritise supplying their domestic markets.

MARKET UPEAVALS HAVE RESULTED IN SHARP PRICE RISES

More than a month after the outbreak of the conflict in the Middle East, the repercussions for the hydrocarbons market are profound: an almost complete halt to flows through the Strait of Hormuz (accounting for around 10% of global crude oil consumption and around 5% of refined products); damage to production capacity in certain Gulf countries (17% of Qatar's LNG production capacity, which supplies around 20% of the global market, and 43% of the Gulf's refining capacity have been damaged to varying degrees); and a sharp rise in prices for all products, whether crude or refined.

While disruptions have so far mainly affected supply flows, the end of the delivery period for shipments from the Gulf region that left before the outbreak of the conflict means that the risk of physical shortages of certain products is growing. This is particularly true for motor fuels among refined products, where price rises are much steeper than those for crude oil. Wholesale gasoline prices have risen across all markets, but the most significant increases have been in diesel and jet fuel, whose supply chains are much more constrained by the ongoing disruptions. Wholesale diesel prices have doubled in Europe and tripled in Asia, while jet fuel prices have doubled in Europe and increased by a factor of 2.5 in Asia. In the United States, the increase has so far been relatively contained, with wholesale prices for these fuels rising by around 50%.

Regardless of the conflict's trajectory, this precarious situation in the markets is likely to worsen in the coming weeks. Indeed, even in a very optimistic scenario of a swift resolution to the conflict, it is understood that a return to the normal functioning of the hydrocarbon market will

be a gradual process, taking several weeks or even several months. In this context, one might wonder about the possibility of a physical disruption to the supply of these refined products in Europe.

EUROPEAN STOCK LEVELS OFFER ONLY A TEMPORARY SOLUTION IN THE EVENT OF A PROLONGED DISRUPTION TO SUPPLY FLOWS

An initial indication can be found in the stock level available in Europe. For all OECD member countries in Europe, diesel stocks are equivalent to 71 days' consumption, while jet fuel stocks account for 50 days. However, the diesel stocks in Spain and Portugal only cover around one month's consumption. The United Kingdom, in particular, raises concerns, as it has some of the lowest diesel and jet fuel stock levels in Europe (20 and 31 days respectively).

THE GROWING DEPENDENCE ON ASIA IS INCREASING EUROPE'S VULNERABILITY

The second factor in the equation is Europe's dependence on imports of refined products. The evidence is unequivocal: over the past twenty years, there has been a massive shift in refining capacity from Europe to Asia, and to a lesser extent, to the Middle East. Since 2000, European refining capacity has fallen from 22% to 14% of the global total, while in Asia, it has risen from 26% to 36% over the same period. In volume terms, these capacities have fallen by 17% in Europe and risen by 74% in Asia. This trend is largely due to more favourable refining margins in Asia. Given an average 1% increase in European consumption of these products over the same period, Europe's dependence on imports of refined products has grown.

REFINED PRODUCTS INVENTORIES IN DAYS OF CONSUMPTION

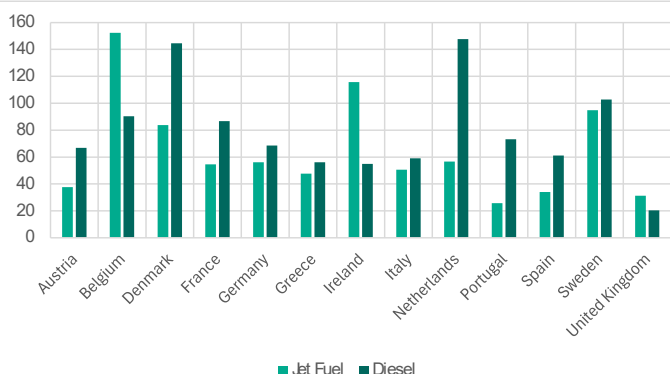


CHART 1

SOURCE: JODI, BNP PARIBAS

REFINING CAPACITY (VOLUME, INDEX 100=2000)

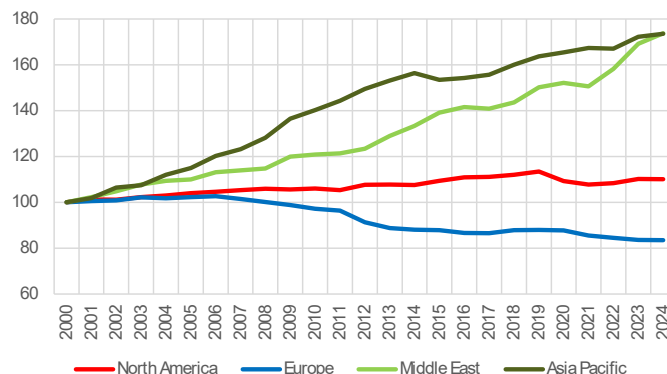


CHART 2

SOURCE: ENERGY INSTITUTE, BNP PARIBAS



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In terms of jet fuel, European dependence is low (4%), whereas it is much higher for diesel (35%). However, similar to the available stocks indicator, this situation varies greatly from country to country. For jet fuel, dependence is high (over 50%) in Denmark, France, Italy and Sweden. As for diesel, France's dependence is quite significant (38%), and higher than in most other countries. Nevertheless, it is the United Kingdom that stands out here, with a dependence of 76% for jet fuel and 34% for diesel. To make matters worse, Kuwait supplies 38% (in 2024) of the jet fuel imported by the UK, while Asia and the Middle East collectively account for 81% of these imports.

Beyond this overall dependency indicator, it is important to consider Europe's dependency on Asia as a whole, rather than solely focussing on the Gulf region, in order to better assess its vulnerability. In 2025, Asia and the Middle East supplied 23% of European diesel imports and 90% of jet fuel imports. Given that Asian refineries are heavily dependent on crude oil from the Middle East (over 60% of their imports are sourced from the Middle East) and the sustained growth in the consumption of refined products (an average of +2.5% per year since 2000), tensions in the Asian refined products market are intensifying.

In this context, European imports from Asia are highly vulnerable. Due to the limited availability of Gulf crude oil, some Asian refineries are having to reduce their production rates, and some countries are prioritising domestic consumption over exports. For instance, China virtually halted its fuel exports a few days after the conflict began. Compounding Europe's vulnerability, the price disparities between Asia and Europe are encouraging shipments from other producing regions to prioritise the Asian market.

NO PHYSICAL CONSTRAINTS AT THIS STAGE, BUT VISIBILITY IS GRADUALLY DIMINISHING

Currently, it is very difficult to determine when physical supply issues for diesel and jet fuel will arise in Europe. Disruptions in the refined products market and their impact on the wider economy begin with sharp price rises, which trigger varying degrees of demand adjustments that gradually permeate different segments of this demand based on their level of elasticity. Furthermore, we are seeing instances of demand destruction, driven by political decisions (such as the rationing measures currently in place in some Asian countries) or the temporary suspension of certain activities (a decision already taken by airlines in Asia, which have announced the temporary suspension of their least profitable air routes under current conditions). Finally, the lack of available product is physically constraining demand.

In Europe, we are still at the stage where prices impact demand and government interventions aim to bolster purchasing power. Inflation in the eurozone rose significantly in March (+2.5% y/y compared with +1.9% in February) due to rising energy prices. For the time being, this increase is lower than that recorded during the 2022 energy crisis, and the rebound in core inflation is not expected to occur until the second half of the year. Nevertheless, the fuel market will continue to tighten in the coming weeks, with some experts in the European aviation sector expressing concerns over a lack of visibility regarding fuel availability beyond a 5 to 6-week timeline. However, the rapid deterioration of the situation in Asia could bring this timeline forward.

WHAT ARE THE PROSPECTS?

In the short term, European governments will have to strike a delicate balance in their crisis management: they need to act to anticipate shortages, but without triggering panic among consumers, as this would only exacerbate the situation. Two key elements appear crucial to us in this approach: the ability to prioritise needs and the promotion of European solidarity. We have indeed observed significant disparities in levels of vulnerability.

In the medium to long term, it will certainly be necessary to learn lessons from this crisis, and three possible avenues (among others) seem viable. As is often the case when it comes to increasing European energy sovereignty, progress will occur gradually and over an extended period.

Actions regarding stockpiles may play a positive role, but will only marginally reduce Europe's vulnerability. If we apply the European standards for energy security – namely, covering 61 days' consumption through available stocks or 90 days' net imports – these standards are met for diesel (except in the United Kingdom) and there is some leeway for jet fuels in a number of European countries.

Only a highly proactive industrial policy, which prioritises economic security (albeit at the expense of decarbonisation efforts) and includes government support, will enable the return of significant production capacity to Europe. Refining is an energy-intensive activity, and the Middle East and Asia enjoy significant comparative advantages, whether due to access to abundant and cheap energy or government policies that favour low-cost energy for industry. For more than twenty years, a comparison of refining margins has consistently shown that Europe is at a disadvantage compared to Asia or the United States.

The geographical diversification of supply sources (excluding the Middle East and Asia) is rather limited in the short term. Apart from Russia, only the United States has significant production capacity (18% of global capacity in 2024).

Europe's susceptibility to the vagaries of the refined products market underscores the urgency of pursuing and expediting the low-carbon transition at European level. The electrification of end-use sectors, particularly in transport, appears to be an obvious means of reducing dependence on road fuels, even though this dependence will continue to be considerable in the medium term. Regulatory uncertainties may have slowed this progress towards the electrification of transport, but recent developments seem promising. Furthermore, as we demonstrated in a previous article¹, progress in the low-carbon transition does not necessarily translate into increased energy sovereignty.

With regard to aviation fuel, the development of production capacity for sustainable aviation fuels (SAF) is a crucial means of enhancing energy sovereignty, as it relies on local resources (notably biofuels or renewable energy for synthetic fuels). Nevertheless, this is only a viable solution in the long term. Currently, these types of fuel are still very expensive, the technical challenges are significant, and prices are still tied to those of petroleum products.

Pascal Devaux

(With the help of Clara Ngo Ba Do, intern.)

¹ [European Union: low-carbon transition and energy sovereignty, a path fraught with obstacles](#)



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INTERNATIONAL TRADE

New tariffs for the pharmaceutical sector and reduced tariffs for steel and aluminium. President Trump has announced a 100% tariff on 'patented pharmaceuticals and associated pharmaceutical ingredients' under Section 232 of the Trade Expansion Act. These duties will be reduced to 15% for the EU, Japan, South Korea and Switzerland under agreements concluded in 2025. Companies that have negotiated an agreement with the Department of Health will not be taxed; however, those planning to relocate their production to the United States will be taxed at 20% for four years (after which the rate will revert to 100%). Tariffs on steel and aluminium, typically set at 50%, may be reduced depending on the product's intended use (e.g. 15% for industrial equipment until 2027), its composition (25% customs duty applies if the product contains over 15% steel/aluminium/copper, 0% if it contains less), the origin of the metal (10% if US-sourced) or the product itself (25% for imports from the UK). The moratorium on e-commerce has expired, as the WTO Ministerial Conference failed to reach an agreement on its extension.

ADVANCED ECONOMIES

UNITED STATES

Strong employment performance, but the energy shock is beginning to take its toll. In March, payroll employment rose by 178k (a figure not seen since late 2024, averaging 68k in Q1), and the unemployment rate fell to 4.3%. The ISM manufacturing index has held steady for three months at an average of 52.6 (52.7 in March, +0.3 m/m). The non-manufacturing index remained high at 54, but has deteriorated (down 2.1 m/m) under pressure from the 'business activity' and 'employment' components. In both surveys, supplier delivery times were lengthening (up 3.8 and 2.7 m/m to 58.9 and 56.0 respectively), and the input price index has reached its highest levels since 2022 (78.5 and 70). Consumer confidence (Conference Board) improved to 91.8 (+0.8 m/m), but 1-year inflation expectations rose (+6.2%, +0.7pp). Retail sales rebounded (+0.6% m/m) due to tax refunds, but this momentum should be viewed in context (+3.7% y/y in nominal terms, with inflation at +2.4% y/y). Fed Chair Powell confirmed that the current monetary policy stance is appropriate and reiterated that the rise in inflation risks is coupled with ongoing employment risks. The Fed futures market indicates a 15% likelihood of a rate hike before the end of 2026 (compared with 70% in the week of 23 March). *Upcoming: Q4 2025 GDP (Friday), CPI inflation (Friday), durable goods orders (Tuesday), FOMC minutes (Wednesday), consumer confidence (Michigan, Friday).*

EUROZONE

Inflation driven up by energy in March, otherwise down. Harmonised inflation rebounded to 2.5% y/y in March (1.9% in February) and reached 1.2% m/m (including +6.8% m/m for energy). Other components slowed: food at 2.1% y/y (-0.1pp), services at 3.2% y/y (-0.2pp) and goods at 0.5% y/y (-0.2pp). The composite PMI (-1.2 m/m to 50.7) was dragged down by the deterioration in services (50.2; -1.7), while the manufacturing PMI rose (+0.8 m/m to 51.6). *Upcoming: retail sales and producer prices (Wednesday).*

- **France: Rising fuel prices are impacting inflation and public finances while accelerating the transition to low-carbon energy.** Harmonised inflation reached 1.9% y/y in March (1.1% in February) due to rising fuel prices. Manufacturing output was stable in February (+0.2 m/m in January). The composite PMI fell to 48.8 in March (-1.1 m/m), weighed down by services (48.8; -0.8 m/m). The manufacturing PMI remained stable. The government estimates that the rise

in interest rates is likely to cost public finances EUR 3.6 billion (0.1% of GDP) in 2026 (due to higher rates on short-term debt, particularly social security debt, and the impact of rising inflation on index-linked bonds). The rise in fuel prices contributed EUR 270 million to public finances in March (EUR 120 million from higher VAT receipts, EUR 150 million from increased purchases, with a likely knock-on effect in April). In 2022, the consumption of petroleum products decreased by 7.5% in volume (reaching its lowest level by the end of 2023), but the decline was minimal in the first few months. The share of electric vehicles rose to 28% of car registrations in Q1 (vs. 20% in 2025), aiding the recovery in registrations in March (+13% y/y, but -2% y/y in Q1). The government has launched tenders to add renewable energy generation capacity, aiming to reach the equivalent of 10 EPR2 reactors in offshore wind by 2035. The government has also announced a new loan scheme for businesses in the transport, agriculture and fisheries sectors, where fuel costs exceed 5% of turnover. *Upcoming: foreign trade (Wednesday).*

- **Germany: Energy-driven inflation.** Harmonised inflation reached a high not seen since January 2025 in March, at +2.8% y/y, driven by energy prices (+7.2% y/y). Core inflation remained stable at 2.5%. The manufacturing PMI reached 52.2 (+1.2 m/m) in March, bolstered by production, new orders and delivery times, which were at their highest since July 2022. The input price index rose sharply, although it remained lower than in 2022. The services PMI (50.9; -2.6 m/m) negatively impacted the composite PMI (-1.3 m/m to 51.9). The unemployment rate remained stable at 4% in March. *Upcoming: industrial orders (Wednesday), foreign trade and industrial production, new car registrations (Thursday), inflation (Friday).*

- **Italy: Harmonised inflation remains stable** at 1.5% y/y (+1.6% m/m). The slowdown in core inflation (1.9% y/y, -0.8pp, a knock-on effect of the Olympics) offsets the rebound in energy prices. The European Commission's Economic Sentiment Indicator (ESI) fell by 1.3 points m/m but remained above its historical average. Household confidence declined (-5 points m/m). The manufacturing PMI rose to 51.3 (+0.7 m/m), bolstered by inventories. The decline in the services PMI (-3.5 m/m to 48.8) negatively impacted the composite index (-2.9 m/m to 49.2). The unemployment rate remains low (5.3% in February; -0.9 pp y/y). *Upcoming: industrial production (Friday).*

JAPAN

Businesses are optimistic. The Tankan business sentiment index has reached its highest level since 1991, now standing at 18 (+1 point). This improvement is widespread (+4 points y/y for large manufacturing firms). However, industrial production and retail sales fell by -2.1% and -2% m/m respectively in February, following increases of +4.3% and +3% m/m in January. *Upcoming: wages (Tuesday), consumer confidence (Thursday).*

UNITED KINGDOM

Inflation expectations rebound. Businesses raised their one-year inflation expectations by 0.5 percentage points to 3.5% (according to the BoE). PMI figures fell in March to 51 (-0.7 m/m) for manufacturing, 50.3 for the composite index and 50.5 for services (-3.4 m/m for both). Growth was confirmed at +0.1% q/q in Q4 (1.4% in 2025), bolstered by both private and public consumption as well as public investment.



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EMERGING ECONOMIES

AFRICA & MIDDLE EAST

Sharp fall in PMI indices in the Gulf region in March. In the United Arab Emirates, the index remains in expansionary territory (at 52.9, down from 55 in February) but has reached its lowest level since June 2021. This is also the third-largest monthly fall, which highlights the difficulties faced by the non-oil private sector in the face of the conflict. Confidence is at its lowest level since early 2021. **The impact is even more pronounced in Saudi Arabia**, where the PMI fell to 48.8 in March from 56.1 in February. This is the first time since August 2020 that it has fallen below the 50 mark.

Qatar: The Central Bank is supporting the banking system. In particular, the reserve requirement ratio on deposits has been reduced from 4.5% to 3.5%, allowing banks to offer their customers the option to defer payments for a period of three months.

ASIA

March PMIs signal the impact of the war in the Middle East on prices and activity. In the vast majority of Asian countries, manufacturing PMIs fell in March but remained in expansionary territory. The decline in the 'new orders' and 'production' sub-components is explained by supply constraints and a downturn in demand prospects. The input prices sub-index rose on average from 56.9 in February to 61.4 in March. The decline in manufacturing PMIs was most pronounced in India (PMI at 53.8), the Philippines (51.3), Taiwan (53.3) and Vietnam (51.2), as they are particularly vulnerable to the impact of the blockage of the Strait of Hormuz on their fuel supplies. At the same time, demand for AI-related goods remains very strong and is bolstering industrial activity, particularly in South Korea (PMI up to 52.6 in March). In China, RatingDog's manufacturing PMI fell but remained above 50, while the official PMI rose slightly to 50.4; the sub-indices for input and output prices recorded the strongest increases.

South Korea: The government has announced economic support measures amounting to nearly 1% of GDP. These measures are primarily aimed at easing the financial burden on households and small businesses that are vulnerable to rising energy prices, by capping fuel prices and building up naphtha reserves. Total public expenditure is expected to rise by nearly 12% in 2026 (8% in the initial budget). The public deficit forecast remains unchanged (less than 2% of GDP): the additional expenditure will be financed by the tax revenue surplus, largely linked to corporation tax from the export sector (in Q1, exports rose by 37% year-on-year in value terms).

India: The central bank is supporting the rupee. Having banned banks from holding net open daily foreign exchange positions exceeding US-D100m at the end of last week, the RBI is now prohibiting them from offering non-deliverable forward (NDF) contracts in rupees. This action aims to mitigate the volatility of its currency (-4% against the USD in March).

EMERGING EUROPE

PMI indices are sending mixed signals. The impact of the conflict in the Middle East is barely noticeable. In Poland and Romania, the manufacturing PMI remains in contraction territory but improved slightly in March (Poland: 48.7; Romania: 46.6). In the Czech Republic and Hungary, PMI indices remain above 50. They rose in the Czech Republic but fell in Hungary. New orders are declining across the region (excluding the Czech Republic).

Currencies tended to appreciate last week. In the region, the Hungarian forint appreciated the most against the euro and the dollar. However, it continues to be the worst-performing currency since the beginning of the war, depreciating by 2.1% against the euro and 4.3% against the dollar.

In Romania, the leu remained stable against the euro. According to Bloomberg, the Central Bank intervened in the foreign exchange market with around EUR 1 billion to support its currency.

Poland: Inflation accelerated in March (+3% y/y, compared with 2.1% in February), mainly due to rising fuel prices. By contrast, food inflation slowed over the same period (+2% y/y vs. 2.4% in February).

Türkiye: Sharp month-on-month disinflation in March (+1.9% after +3% in February and +2.5% a year earlier in March 2025). The 'transport' category recorded the sharpest rise (+4.5% month-on-month), driven by rising fuel prices despite a tax reduction implemented on 5 March. Inflation in housing services was limited to 1.9% month-on-month. Year-on-year, the headline inflation rate stands at 30.9% and core inflation at 29.7%.

LATIN AMERICA

In March, PMIs remained in contraction territory in Brazil, Colombia and Mexico. New orders rose slightly in Colombia, while they continued to deteriorate in Brazil and Mexico, reflecting strains on demand and inflationary pressures linked to rising energy prices.

Colombia: Key interest rate raised by 100 basis points to 11.75%. This decision by the Central Bank was expected given the highly inflationary environment. Inflation reached 5.3% year-on-year in February (exceeding 5% for the seventh consecutive month). Pressures have been exacerbated by the increase in the minimum wage (+23% on 1 January) and rising energy prices. Although Colombia is a net exporter of crude oil, the country imports significant quantities of gas and fertilisers. Further rate hikes are expected in 2026.

COMMODITIES

The Strait of Hormuz is at the centre of attention. Iran is seeking ways to maintain its control over the strait and is in discussions with Oman regarding the introduction of a 'toll' and licensing system for ships passing through. Around 40 governments met on Thursday 2 April, at the UK's suggestion, to consider a solution to ensure the free flow of maritime traffic. The United Nations Security Council is due to meet on Tuesday 7 April to vote on a draft resolution put forward by the Gulf states aimed at protecting ships as they pass through the strait. The outcome of the vote is uncertain and could lead to an escalation, with threats from Iran and warnings from other countries, including France and China. Attacks on ships sailing near the Strait (Dubai, Qatar) continue, as do strikes on energy infrastructure in the Gulf, including the Minal al-Ahmadi refinery in Kuwait, the Habshan gas facility in Abu Dhabi (UAE) and the Iranian steel plant in Mobarakeh. However, 21 ships were able to pass through the Strait of Hormuz this weekend.

Tensions over supply flows remain high. Russia is extending its restrictions on petrol exports to oil producers until 31 July. Until now, the restrictions had only applied to retailers. It is estimated that around 40% of Russia's export capacity is affected by these restrictions.

OPEC+ member countries are maintaining their production increase programme and are forecasting a rise of 206,000 barrels per day by May 2026. Given that flows are still restricted due to the closure of the Strait of Hormuz, the increase announced on 5 April at their monthly meeting has had a limited effect.

The price of Brent is currently around USD 109/bbl.


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FOCUS EUROZONE

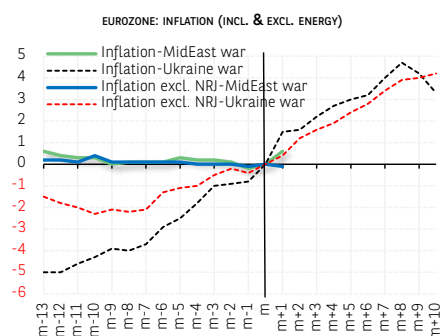
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Will the same causes produce the same effects? To track the impact of the new energy shock—triggered by the war in the Middle East—on economic activity and prices in the eurozone, and to assess how closely the current situation resembles that of 2022 when the conflict in Ukraine broke out, we have selected two measures of inflation (including and excluding energy) and six survey data points. Risks and uncertainties abound, but it is clear that the economic context in which this new energy shock is unfolding is less inflationary than in 2022. The assessment of the initial available data is relatively positive: the reaction in surveys and inflation is, for now, limited, and trends are generally less unfavorable in March 2026 than in March 2022. However, it is highly likely that the observed deterioration will continue: the question is one of its magnitude. This series of charts will be updated regularly for this purpose.

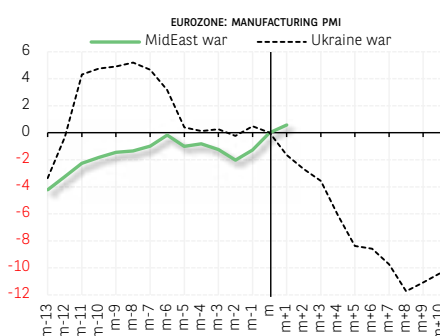
[Read the Chart of the week of H       Baudchon](#)

Middle East war: a more limited impact, for now, on Eurozone inflation and confidence than at the onset of the Ukraine war

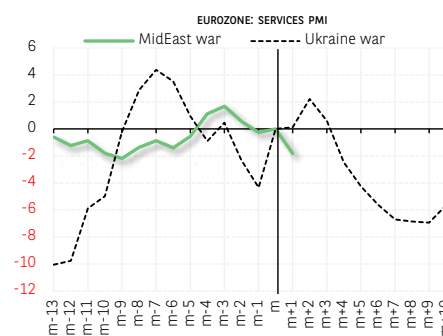
March 2026: a more limited inflation rebound



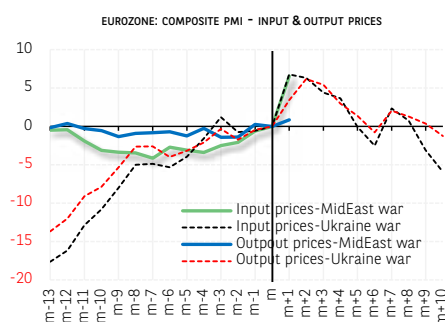
March 2026: business confidence in the manufacturing sector remains well oriented



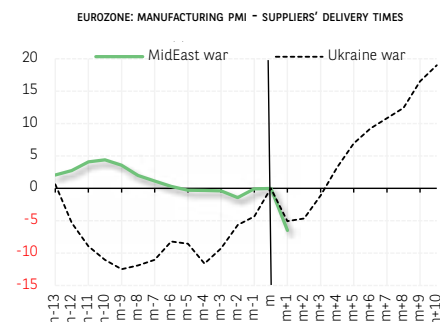
March 2026: business confidence in services on a downtrend



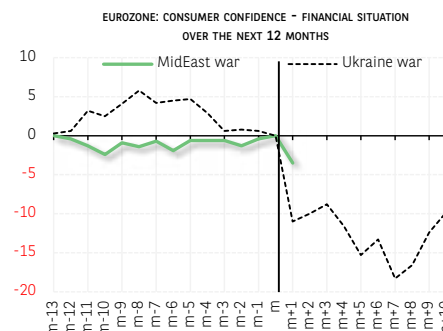
March 2026: input prices rose but not output prices



March 2026: delivery times eased



March 2026: consumer confidence less affected



Change since m = 0 = February 2026 / February 2022

SOURCE: EUROSTAT, EUROPEAN COMMISSION, MACROBOND, BNP PARIBAS



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MARKETS OVERVIEW

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Bond Markets

	In %	In bps			
	02/04/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2,59	-5,0	+54,8	+50,3	+54,3
Bund 5Y	2,70	-9,3	+41,4	+23,6	+40,8
Bund 10Y	2,97	-10,3	+30,1	+10,7	+27,8
OAT 10Y	3,62	-16,6	+39,6	+12,7	+37,3
BTP 10Y	3,84	-17,7	+53,7	+34,4	+22,0
BONO 10Y	3,48	-6,5	+43,7	+23,0	+23,7
Treasuries 2Y	3,81	-14,0	+30,0	+32,5	-10,0
Treasuries 5Y	3,94	-12,5	+31,9	+21,5	-0,7
Treasuries 10Y	4,31	-1,2	+26,6	+14,1	+3,2
Gilt 2Y	4,33	-15,3	+69,2	+57,2	+15,9
Treasuries 5Y	4,39	-15,9	+50,9	+53,8	+12,8
Gilt 10Y	4,84	-3,9	+46,7	+47,6	+17,2

Currencies & Commodities

	Level	Change, %			
	02/04/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1,16	+0,3	-1,1	-1,6	+6,4
GBP/USD	1,32	-0,4	-1,0	-1,5	+2,2
USD/JPY	159,37	-0,5	+1,0	+1,7	+6,4
DX	100,03	-0,1	+1,7	+1,7	-3,6
EUR/GBP	0,87	+0,6	-0,2	-0,1	+4,2
EUR/CHF	0,92	+0,5	+1,2	-0,8	-3,7
EUR/JPY	184,08	-0,2	-0,1	-0,0	+13,2
Oil, Brent (\$/bbl)	108,88	-4,0	+40,0	+78,9	+44,3
Gold (\$/ounce)	4672	+3,2	-11,8	+8,0	+49,5

Equity Indices

	Level	Change, %			
	02/04/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4314	+3,2	-4,8	-2,6	+17,6
North America					
S&P500	6583	+3,4	-4,3	-3,8	+16,1
Dow Jones	46505	+3,0	-4,9	-3,2	+10,1
Nasdaq composite	21879	+4,4	-3,8	-5,9	+24,3
Europe					
CAC 40	7962	+3,4	-5,1	-2,3	+1,3
DAX 30	23168	+3,9	-6,0	-5,4	+3,5
EuroStoxx50	5693	+3,4	-4,9	-1,7	+7,3
FTSE100	10436	+4,7	-3,2	+5,1	+21,2
Asia					
MSCI, loc.	1763	-0,4	-6,6	+4,4	+27,8
Nikkei 225	52463	-1,7	-9,6	+4,2	+46,8
Emerging					
MSCI Emerging (\$)	1434	-0,2	-9,5	+2,1	+29,0
China	76	+0,1	-4,9	-7,8	+2,3
India	894	+1,3	-10,1	-15,6	-9,5
Brazil	1974	+4,6	-0,3	+19,9	+47,5

Performance by sector

Eurostoxx600

Year 2026 to 2-4, €

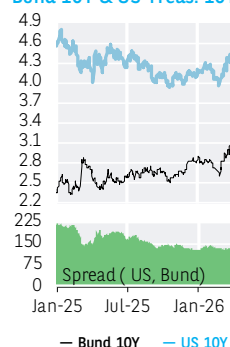
+35,1%	Oil & Gas
+16,9%	Telecoms
+16,5%	Utilities
+13,8%	Commodities
+6,3%	Chemical
+0,7%	Eurostoxx600
+0,1%	Industry
-0,5%	Food industry
-1,0%	Health
-1,7%	Real Estate
-2,6%	Insurance
-3,0%	Technology
-3,5%	Construction
-4,1%	Banks
-5,0%	Financial services
-7,9%	Retail
-10,0%	Travel & leisure
-16,5%	Consumption Goods
-17,0%	Media

S&P500

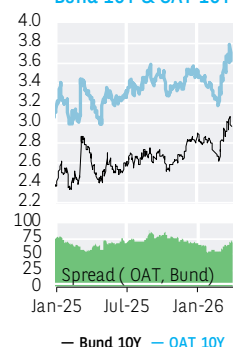
Year 2026 to 2-4, \$

+32,5%	Energy
+13,5%	Retail
+10,7%	Telecoms
+10,6%	Materials
+9,1%	Capital Goods
+8,6%	Utilities
+5,0%	Food, Beverage & Tobacco
+0,3%	Tech. Hardware & Equip.
-0,2%	Semiconductors
-1,2%	Pharmaceuticals
-3,8%	S&P500
-6,0%	Insurance
-7,0%	Consumer Services
-7,1%	Consumer Discretionary
-7,3%	Media
-7,4%	Bank
-10,4%	Commercial & Pro. Services
-11,6%	Healthcare
-18,9%	Automobiles
-24,7%	Real Estate

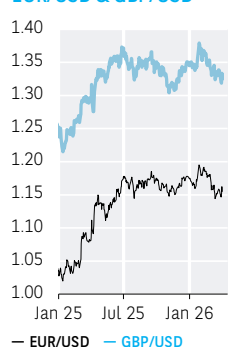
Bund 10Y & US Treas. 10Y



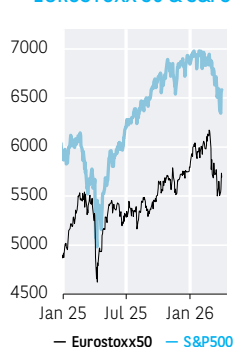
Bund 10Y & OAT 10Y



EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent (\$/bbl)



Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



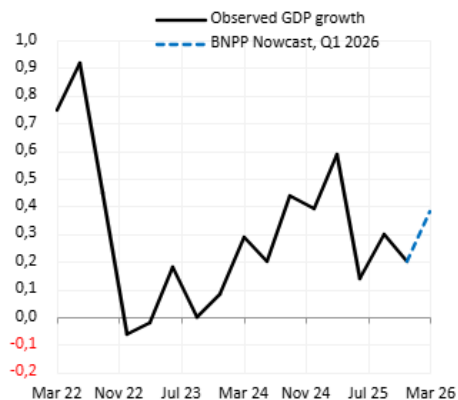
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The scenario, forecasts and nowcasts of the Economic Research – 7 April 2026

NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



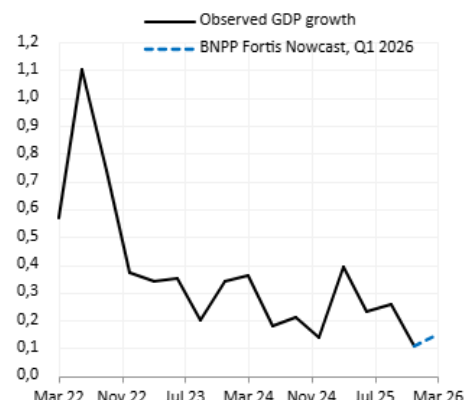
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth points to an acceleration in Q1 2026 (+0.4% q/q) compared with Q4 2025 (+0.3%). This is due to stronger industrial momentum, as evidenced by the improvement in the manufacturing PMI in January-February.

Our nowcast for French growth suggests continued momentum in Q1 2026, at +0.3% q/q, which is the average level recorded since Q2 2025. This growth is supported by industry. The decline in consumer confidence in March is not expected to weigh on Q1 GDP, but rather on Q2.

Business sentiment at its lowest level in 10 months and the cooling down of the labor market have led to a downward revision of our nowcast for Q1 Belgian GDP growth (from 0.3% to 0.15%). In parallel, business transactions (a proxy for activity levels) are trending down again since a couple of weeks.

Read the [Nowcast methodology](#)

Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth				Inflation			
	2024	2025	2026 e	2027 e	2024	2025	2026 e	2027 e
United States	2,8	2,1	2,7	2,0	2,9	2,7	3,2	2,7
Japan	0,1	1,2	0,8	0,9	2,7	3,1	1,9	2,5
United Kingdom	1,1	1,3	0,6	-	2,5	3,4	3,6	3,3
Euro Area	0,9	1,5	1,6	1,6	2,4	2,1	1,9	2,3
Germany	-0,5	0,4	1,4	1,5	2,5	2,2	1,6	2,3
France	1,1	0,9	1,3	1,3	2,3	1,0	1,1	1,5
Italy	0,5	0,7	1,0	0,9	1,1	1,7	1,5	1,9
Spain	3,5	2,8	2,5	2,3	2,8	2,7	2,3	1,9
China	5,0	5,0	4,7	4,5	0,2	0,1	0,9	1,0
India*	7,1	7,6	7,0	6,8	4,6	2,1	4,1	4,3
Brazil	3,4	2,2	1,8	1,4	4,4	5,0	4,0	3,8

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 07 April 2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
		Spot 03/04	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.35	4.35	4.45	4.50	-
	deposit rate	2.00	2.25	2.75	2.75	-
	Bund 10y	2.97	3.00	3.05	3.10	-
	OAT 10y	3.62	3.65	3.80	3.87	-
Eurozone	BTP 10y	3.84	3.58	3.70	3.75	-
	BONO 10y	3.48	3.42	3.50	3.55	-
	Base rate	3.75	-	-	-	-
UK	Gilts 10y	4.84	4.50	4.40	4.30	-
Japan	BoJ Rate	0.75	1.00	1.25	1.25	2.00
	JGB 10y	2.35	2.00	2.05	2.10	-
Exchange Rates		2026				2027
		Spot 03/04	Q2	Q3	Q4	Q4
USD	EUR / USD	1.16	1.18	1.19	1.20	1.22
	USD / JPY	159	158	159	160	160
	GBP / USD	1.32	1.30	1.29	1.30	1.30
EUR	EUR / GBP	0.87	0.91	0.92	0.92	0.94
	EUR / JPY	184	186	189	192	195
Brent		2026				2027
		Spot 03/04	Q2	Q3	Q4	Q4
Quarter Average						
Brent	USD/bbl	109	57	63	63	73

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy). Last update: 07/04/2026

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We invite you to follow our [Ecolnsights](#) analyses on the war in Iran.
The “Growth and Inflation” baseline scenarios will be fully updated in April.

UNITED STATES

The US economy is expected to grow above its potential pace in 2026, with an average annual growth rate of +2.7%, a yearly improvement (+2.2% in 2025). This apparent resilience to uncertainty, tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, supported by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). The inflation overshooting of the target is set to continue (+3.2% in 2026) until at least 2028 due to tariffs – although the impact of these appears to be less significant than expected – and the rise in oil prices. The labour market is experiencing a slowdown in both demand and supply, linked to a less dynamic economy than after the post-pandemic reopening due to the administration's immigration policy. The rebalancing of risks surrounding the Fed's dual mandate and its emphasis on the ‘employment’ component has triggered a new cycle of rate cuts. The FOMC implemented three rate cuts (-75 bps cumulative) in total in 2025, and we expect the Fed Funds target range to be held steady à 3,5% - 3,75% throughout 2026.

CHINA

Economic growth reached 5.0% in 2025, like in 2024, and is projected to decelerate moderately in 2026. Domestic demand weakened in the last quarter of 2025, with a contraction in investment and a slowdown in retail sales growth, but then it rebounded in the first two months of 2026. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, and the strengthening of private consumption is one of their priorities. However, the central bank and the government will continue to implement moderate policy measures to stimulate activity, even in a less supportive global environment. Export growth performance remains strong, and Chinese goods are expected to remain competitive in the short term. Deflationary pressures persist. They might decline in 2026, partly thanks to higher global oil prices and anti-involution measures implemented by the authorities.

EUROZONE

After holding up well in 2025 (1.5%), growth is expected to strengthen in 2026 (+1.6%). It is expected to grow at a stable quarterly rate of 0.5% over the year. Favourable carryover effect would keep the average annual unchanged in 2027 (1.6%), despite a lower quarterly profile (+0.3% q/q). The roll-out of fiscal measures in Germany and the planned increase in military spending and AI-related investment in Europe, against a backdrop of labour market resilience, underpin this scenario. This momentum will nevertheless be undermined by the energy shock linked to developments in the Middle East, which leads us to revise our monetary policy scenario for 2026, with risks remaining skewed to the upside: the ECB would implement three successive rate hikes (June, July, September), bringing the deposit rate to 2.75%. In this context, this tightening would increase uncertainty regarding our growth outlook, without invalidating it at this stage.

FRANCE

GDP growth reached 0.2% q/q in Q4 (after 0.5% q/q in Q3), driven by private consumption (+0.3% q/q), household investment (+1.1% q/q) and the exports of aeronautics. Inflation was quite low in 2025 (1%) and should not accelerate in 2026 (1.1%). In 2026, GDP growth should increase to 1.3%, driven by demand (business investment, exports, private consumption), after a lower performance in 2025 (0.9%).

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth easing to 1% after 1.3% in 2025. The energy shock linked to the war in Iran would generate renewed inflationary pressures, and instead of gradually converging back to target, inflation is projected to reach 3.2% before declining only gradually to 2.5% in 2027. In this context, and contrary to the previously expected monetary easing, we now anticipate a tightening of 50 basis points in 2026. Growth momentum would remain weak, with quarterly expansion averaging around +0.2%. Activity would be mainly supported by public spending, particularly through increased public investment; defense investment plans in the UK and across Europe are expected to provide some support to economic activity. Conversely, persistent labor market tightness, risks of de-anchoring of inflation expectations (and thus second-round inflationary effects), as well as deterioration in corporate conditions could weigh further on the outlook.

JAPAN

Japanese growth is expected to slightly exceed its potential level in 2026. In 2025, the average annual growth rate stood at +1.2% and is expected to slow to +0.8% in 2026, as fiscal policy should support activity while supply constraints and inflation temper it. Underlying inflation has exceeded the +2% y/y target since 2022. As a result, solid nominal wage increases, which are expected to continue in 2026, are proving insufficient to stem the decline in real incomes and support household demand. The level of public debt is contributing to bond pressure, illustrated by record 10-year and 30-year rates over more than two decades, probably reinforced by expansionary fiscal policy and the spacing of key rate hikes. In fact, in 2024, the Bank of Japan began a cycle of ‘less accommodative’ policy and the policy rate currently stands at +0.75% (previously negative). We expect the process to extend, including one hike in Q2 2026 (+25pb), until a +2.0% terminal rate is reached at the end of 2027.

EXCHANGE RATES

We expect the dollar to continue depreciating against the euro. Structural changes in fiscal policy and the expected strengthening of growth in Europe, coupled with the slowdown in the United States, underpin our forecast of a gradual and moderate rise in the EUR/GBP exchange rate by the end of 2026 (1.20 in Q4 2026). Conversely, we anticipate a slight depreciation of the yen and the GBP against the dollar (USD/JPY 160 and GBP/USD 1.3 in Q4 2026).



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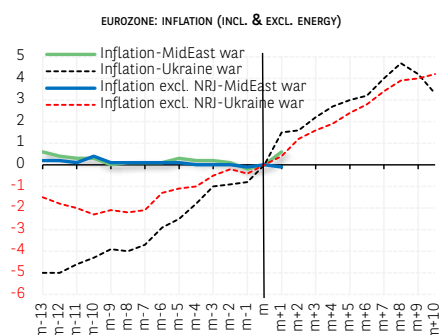
EUROZONE: SIX CHARTS COMPARING THE IMPACT OF THE 2026 ENERGY CRISIS WITH THAT OF 2022

Hélène Baudchon

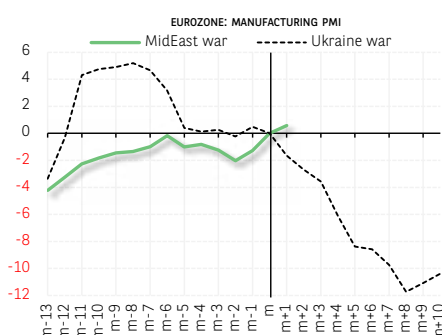
Will the same causes produce the same effects? In other words, will the outbreak of war in Iran and the associated surge in oil prices (+44% to date) and gas prices (+64%) lead to an inflationary shock¹ comparable to that of 2022? Will their negative effects on growth² be the same as those of the war in Ukraine and the ensuing energy shock (a rise in oil prices of around 30% between 23 February and its peak in early June 2022³, and a rise in gas prices of around 210% between 23 February and the peak in late August 2022)? The risk cannot be ruled out. Indeed, there are similarities and numerous uncertainties.

Middle East war: a more limited impact, for now, on Eurozone inflation and confidence than at the onset of the Ukraine war

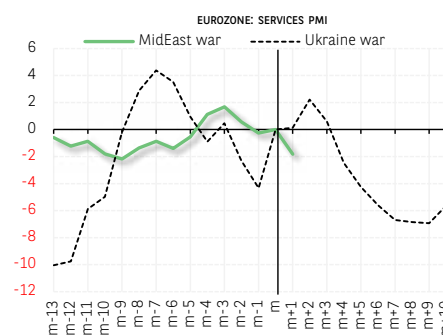
March 2026: a more limited inflation rebound



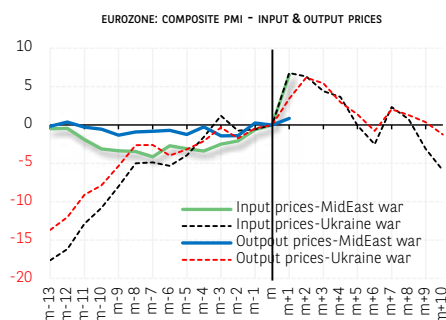
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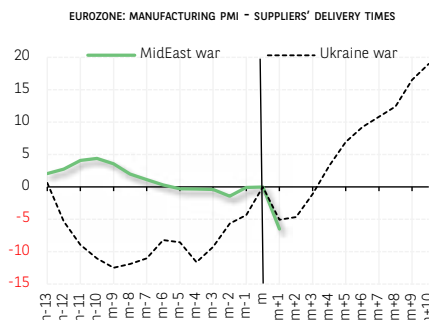
March 2026: business confidence in services on a downtrend



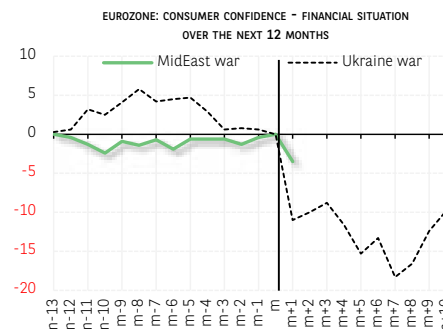
March 2026: input prices rose but not output prices



March 2026: delivery times eased



March 2026: consumer confidence less affected



Change since m = 0 = February 2026 / February 2022

SOURCE: EUROSTAT, EUROPEAN COMMISSION, MACROBOND, BNP PARIBAS

1 Headline inflation in the Eurozone soared by 11 percentage points (pp) between its low in December 2020 (-0.3% y/y) and its peak in October 2022 (10.6% y/y). The energy shock triggered by the outbreak of war in Ukraine amplified an inflationary surge that was already underway: between February and October 2022, the rise in headline inflation reached nearly 5 pp.
2 This is illustrated by the halt to growth in the Eurozone in late 2022 and early 2023. From an average quarterly rate of close to 1% (driven by the post-Covid rebound) in the first half of 2022, growth halved in Q3 2022 (+0.5%), before stalling in Q4 2022 and Q1 2023. This was followed by a year of sluggish growth (+0.15% q/q on average per quarter between Q2 2023 and Q2 2024).
3 The rise in oil prices began in April 2020 and was substantial. On 21 April, Brent fell to an exceptionally low level of USD 10 per barrel, meaning that between this low and the peak of around USD 120 per barrel reached in early June 2022, its price increased twelvefold.

At first glance, a shock less inflationary than in 2022. It is clear, however, that the economic context in which this new energy shock is unfolding is less inflationary than in 2022. At that time, economic activity was still benefiting from the post-Covid rebound. Strong demand was accompanied by numerous supply constraints due to severe disruptions and tensions in supply chains. Furthermore, energy inflation was compounded by food inflation. Today, the surge in inflation is likely to be less severe: demand is less robust and supply constraints have eased. Therefore, the conditions do not appear to be in place for a significant spillover of rising energy prices. But this will need to be monitored closely.

Moreover, central banks have learnt lessons from the inflationary shock of 2021–2023. They are ready to react more swiftly to counter any spillover, spiral and second-round effects between rising prices, inflation expectations and wages.

A muted impact so far. To date, the impact has remained contained within both the financial and real spheres. The limited and somewhat surprising reaction of financial markets does raise questions. Nevertheless, it constitutes a welcome, mitigating factor, preventing, for the time being, the energy shock from being exacerbated by a financial shock⁴. The first macroeconomic indicators available for March (survey data and flash inflation estimates) tell a reassuring story too: their reaction is also, for the most part, limited. This is good news, but in no way does it prejudice what will happen next. It is highly likely that the deterioration observed will continue: the question is by how much.

To track the effects of this new energy shock on activity and prices in the Eurozone, and also to see how closely the current situation resembles that of 2022, we have selected two measures of inflation (including and excluding energy) and six soft data:

- Business confidence, as measured by the PMI indices for business sentiment in the manufacturing and services sectors;
- The 'input prices' and 'output prices' components of the composite PMI (to identify direct inflationary pressures);
- The 'suppliers' delivery times' component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalances and, therefore, indirectly, of potential inflationary pressures at work);
- Household confidence, as reflected in its 'assessment of financial situation' component (to capture the effect on purchasing power).

The trend in each of these indicators is observed relative to month $m=0$, when the conflict began, more or less during the year that follows and the year that precedes it. We are interested in the variation in each of them as well as the broader trend within which it fits.

Less unfavorable developments in March 2026 than in March 2022. The charts speak for themselves: excluding energy, inflation has not (yet) budged, and last March, most of the surveys showed a less unfavorable reaction to that of March 2022. The improvement in the manufacturing PMI in March 2026 is one of the positive signals, as is the absence of a rise in the 'output price' component, and the fact that the deterioration in household sentiment regarding their financial situation was more limited than in March 2022. The easing of delivery times is also a positive sign, but these are likely to tighten again due to growing supply difficulties linked to the closure of the Strait of Hormuz. The deterioration in the services PMI is a black spot on the picture, as is the rise in input prices, which was of a similar magnitude in March 2026 to that of March 2022. The starting point is, however, much lower. Moreover, what matters most is the absence of – or limited – pass-through to output prices.

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⁴ For further details, see Isabelle Mateos y Lago's editorial in Ecweek, [Gulf War: Are Financial Markets Sleepwalking?](#), 30 March 2026.



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EcoFlash

Inflation in the Eurozone and France: the start of a rebound

Inflation in both the Eurozone and France is expected to return to levels not seen since the summer of 2024. In March, we forecast 2.6% y/y in the Eurozone (compared with 1.9% in February). In France, where inflation is starting from a much lower base (1.1% in February), it is expected to reach 1.7% y/y in March, rising to 2.1% in May. This rebound in inflation is attributable to the sharp increase in energy prices, which has not yet been passed on to core prices. Business surveys point to a rebound in input prices. However, they do not currently suggest an increase in selling prices in the second quarter, either in France or in the Eurozone. Nevertheless, a rebound in core inflation is expected from the second half of the year. This could prompt the ECB to begin monetary tightening from June (by a cumulative 75 basis points by the autumn, according to our forecasts).

Harmonised inflation in the Eurozone is expected to reach 2.6% y/y in March, according to our forecasts. This would represent a sharp rise compared with February (1.9% y/y). In monthly terms, the rise in consumer prices is expected to reach 1.4% m/m in March 2026, compared with 0.6% m/m in March 2025, a rise linked to the ongoing increase in fuel prices. The trend is expected to remain unchanged for other consumer items, which would represent a notable difference from March 2022. At that time, the inflationary spiral had already been underway since early 2021, and the Russian invasion of Ukraine had amplified it. Behind the 2.4% m/m rise in the CPI in March 2022, the jump in fuel prices had reached 19% m/m (a trend similar to that expected in March 2026). But food price inflation was also high and had already spread to the core rate (particularly goods prices). Nothing of the sort is expected in March 2026. Core inflation is, in fact, expected to remain stable at 2.4% y/y. All European countries are affected by the rise in Brent oil prices, as evidenced by the 0.8 percentage point acceleration in inflation in Germany (to 2.8% y/y) and in Spain (to 3.3% y/y) in March.

In France, similar trends are also expected. We forecast a rebound in harmonised inflation to 1.7% y/y (INSEE index at 1.6% y/y) compared with 1.1% in February (INSEE index at 1%). We estimate the rise in fuel prices at nearly 17% in March (similar to March 2022). However, inflation is lower in France than in the Eurozone. Furthermore, the rate of increase is expected to be lower than that seen in France in March 2022 (+1.6% m/m). However, with the recent rise in gas prices on the markets, the Energy Regulatory Commission has already indicated that the benchmark retail price for gas will rise by 15% in May, which, according to our forecasts, would push harmonised inflation in May above the 2% threshold (2.1% y/y). Core inflation (1.3% y/y in February), meanwhile, is expected to remain stable.

There is little risk of a rapid spillover to core inflation in the immediate term. The evolution of the conflict in Iran remains uncertain. However, surveys currently suggest that, excluding energy, price rises are likely to be limited until the end of the second quarter. In the Eurozone, the European Commission's survey indicates a balance of opinion on 3-month prices of +20 in industry (+6 m/m, but +57 in March 2022) and +20 in trade (+3 m/m, but +53 in March 2022). In France, the INSEE survey on the business climate in March suggests that the pass-through effect would first affect food prices, with a more limited risk for the time being than in 2022 (the balance of opinion on expected prices over the next three months stood at +8 in March 2026, compared with +42 in March 2022). Inflation on goods could also rebound slightly (balance of opinion at +9 in March 2026), but significantly less than in March 2022 (balance of opinion at +53), for reasons unrelated to the energy shock (rise in industrial input prices linked to increased production in defence, aerospace and AI).

The ECB is unlikely to be in a rush to act, but would do so swiftly if necessary. The course of the conflict in Iran will be decisive in determining whether hydrocarbon prices remain high for the long term. [We have drawn up various scenarios.](#) According to the most likely scenario at this stage, Brent would remain above USD 100/barrel until the end of Q2, with a prolonged blockade of the Strait of Hormuz and strikes on oil and gas facilities but without major damage (if the damage were to become more significant, the price of oil could rise well above the USD 100/b threshold). In this context, the rise in energy prices would continue. It would feed through more strongly to electricity prices (except in France, where the latter does not currently depend on gas prices) and would spread more rapidly to core inflation. Such an acceleration would likely force the ECB to tighten monetary conditions in the Eurozone, although the scale of the adjustment remains dependent on the uncertain evolution of the conflict in the Middle East, its impact on commodity and industrial goods prices, and second-round effects. Markets are currently pricing in three key rate hikes for 2026 of 25 basis points each: in June, July (as in our current scenario) and December (September in our scenario). The ECB will remain vigilant to ensure that tightening too late does not lead to an inflationary dynamic that is more difficult to reverse.

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EDITORIAL

3

GULF WAR: ARE FINANCIAL MARKETS SLEEPWALKING?

Asset prices have been moving in unusual ways since the onset of the Gulf War (no safe havens, limited dollar rally and de-risking). Do financial markets know something we don't, has something fundamentally changed in the way asset prices reflect economic expectations, or are they simply malfunctioning and about to swing wildly as things normalise? Unfortunately, it is impossible to know for sure, and what's more, these hypotheses are not mutually exclusive. So far, markets appear to expect an inflation spike, met with a firm central response, with limited damage to growth, and a relatively swift return of inflation to target range. That may turn out to be correct. But far worse outcomes are also very plausible. Not seeing them priced in to a greater degree helps limit damage to growth in the near term, but could cause trouble if this changes abruptly.

Markets around the world have had one overwhelming driver since reopening on March 1: the price of crude oil on exchanges (Brent and WTI). Not physical oil (the one delivered by pipelines and tankers), nor oil products like fuel, diesel, or petrol, whose prices have skyrocketed and which arguably matter a lot more for economic outcomes. Just "paper" oil (*i.e.*, financial contracts), the price of which has fluctuated wildly on an intraday basis, based on the ebb and flow of hopes and fears about the severity and length of this energy shock. Stocks, bonds, and non-dollar currencies have all exhibited a tight negative correlation to oil contracts. In other words, markets have been bouncing around based on little more than war communications from all belligerent parties.

Overall, one month into the war, oil was 55% more expensive, global stocks down 8% and gold down 15%; markets moved from expecting cuts from major central banks to expecting multiple hikes, and global yields were several decimal points higher, reaching levels not seen since the late 2000s in some cases (*see table and chart for more details*)¹. None of this is crazy *per se*. But look deeper, and some inconsistencies and other oddities appear.

NO SAFE HAVENS

Stocks and bonds have sold off jointly. So has gold. While the latter is highly unusual, the former is, in fact, quite common in response to an inflationary shock, but these shocks were so rare from the 1980s to the 2020 pandemic that we had collectively forgotten about them. Indeed, a joint bonds-stocks selloff is exactly what happened in 2022. As inflation risks rise, central banks are expected to tighten monetary policy by increasing policy rates. This then pushes up short-term interest rates and depresses growth expectations. Ordinarily, capital would then flow to the relative safety of long-term government bonds (leading to a flattening and even often an inversion of the yield curve), and perennial stores of value like gold. Of course, this may yet happen, as markets move to worry more about growth.

But, this time, the flattening has been relatively muted, *i.e.*, long term rates have not been bought as much as they typically would. There could be two reasons for this, not mutually exclusive: an inflation risk premium, and real rates. But market-based expectations of inflation in 10 years have not moved up meaningfully (unlike shorter term ones). That leaves real rates. Why would real rates have gone up since the start of the war? The most likely explanation is that markets expect higher government deficits. This makes sense considering the large deficits incurred by most advanced countries' governments in 2022-23 to help cushion the shock from higher energy costs (between over 3% and over 5% of GDP in Europe's largest economies).

¹ Numbers refer to the prices of Oil Brent spot contracts and the All Countries World Index (ACWI) from market close on 27/2/2026 to 27/3/2026.

Market expectations for policy rates across major central banks: Number of hikes or cuts by year-end 2026

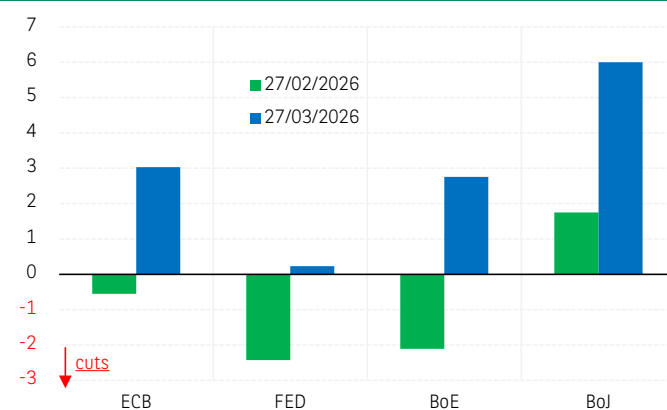


CHART 1

SOURCE: BLOOMBERG, BNP PARIBAS

Markets overview Feb 27 – March 27

	in % change				
	27/03/2026	1-Week	Since Feb 27	Year to date	1-Year
S&P500	6368.9	-2.1	-7.4	-7.0	+11.9
Nasdaq Composite	20948.4	-3.2	-7.6	-9.9	+17.7
Euro STOXX 50	5505.80	+0.1	-10.3	-4.9	+2.3
CAC40	7701.95	+0.5	-10.2	-5.5	-3.6
Bloomberg World Index	2239.14	-1.5	-8.5	-5.0	+14.2
Nikkei 225	53373.07	+0.0	-9.3	+6.0	+41.2
Hang Seng Index	24951.88	-1.3	-6.3	-2.6	+5.8

	in bps				
	27/03/2026	1-Week	Since Feb 27	Year to date	1-Year
OAT 10Y (%)	3.83	+7.9	+61.6	+27.0	+36.6
Bund 10Y (%)	3.09	+5.1	+45.1	+23.9	+32.1
US Tr. 10Y (%)	4.43	+4.8	+49.0	+26.1	+6.8
JGB 10Y (%)	2.39	+11.1	+26.8	+32.2	+79.9
Gilt 10Y (%)	4.97	-2.0	+74.1	+49.5	+19.1

	in % change				
	27/03/2026	1-Week	Since Feb 27	Year to date	1-Year
EURUSD	1.15	-0.5	-2.6	-2.0	+6.6
DXY Index	100.15	+0.5	+2.6	+1.9	-4.0
Brent (\$/bbl)	112.57	+0.3	+55.3	+85.0	+52.1
Dutch TTF Price (€/MWh)	54.18	-8.6	+71.4	+83.8	+31.8

TABLE

SOURCE: BLOOMBERG, BNP PARIBAS



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However, precisely because of the legacy of these large deficits, there is much less room for maneuvering this time. That is why most governments' responses to date have been far more targeted, time-limited and restrained. If it stays that way, markets may therefore revise term premium down; but ongoing concerns about large fiscal deficits could keep it high or even push it higher in individual countries. The under-performance of US Treasuries, UK Gilts and Italian BTPs are noteworthy in this respect. So are the unusually poor trading conditions in US Treasuries in the last week of March, with three bond auctions (2Y, 5Y and 7Y) showing unusually low demand.

For now, the rise in long-term real rates could help explain the counter-performance of gold. Another likely explanation is gold's parabolic performance in the run-up to the war, which made it a preferred asset to sell for any holder (including central banks) confronted with liquidity needs.

LIMITED DOLLAR APPRECIATION

The dollar index is up 2.65% over the month. This is directionally what would be expected in the face of an energy price shock, which is a positive terms-of-trade shock for the US (and other energy exporters), and a negative one for all other countries. Moreover, the dollar has historically been a safe haven, rallying in times of heightened risk and risk aversion. But last year already provided a number of opportunities to see this pattern much weakened. The market moves of the past month have shown likewise, with currency moves in both developed and emerging markets being only about 2/3 of what previous patterns would predict. Nevertheless, should energy prices continue to escalate, we would expect the dollar to strengthen further, possibly with non-linearities along the way. In some countries, central banks may then be compelled to step in to alleviate selling pressure on their currencies that would intensify inflation and financial stability risks.

MUTED DE-RISKING

In recent days, stock markets have started registering somewhat more meaningful losses; however, this is largely linked to issues unrelated to the war impacting tech stocks, which had until now acted as safe heaven. Despite US and, to a lesser extent global stocks, being richly priced before the war, only one major index (the NASDAQ) has corrected by more than 10% from peak to trough. Corrections of around 8% in a single month have happened roughly every 2.5 years on average since 2000. The VIX, the so-called "fear index" of expected S&P500 stocks volatility has been hovering between 25 and 30 (versus a long-term average around 20, and spikes above 50 last April in the wake of "Liberation Day"). Earnings expectations have not been downgraded meaningfully. And many stock analysts are holding on to their pre-war year-end targets for US indices. Surveys of global investors indicate they have not derisked their portfolios very much, with cash holdings remaining far below what we saw after last year's "Liberation Day" shock, let alone after the full-blown Russian invasion of Ukraine in 2022. This suggests global investors are not expecting the war and associated energy shock to cause meaningful damage to growth. The OECD and central banks that have published revised forecasts in recent weeks would seem to agree². However, these forecasts were based on scenarios for the size and duration of the energy shock that are already out of reach given developments in energy markets and on the ground since then (see graph below).

Are these developments cause for concern? To a degree, yes. The absence of reliable hedges makes portfolio construction trickier by making it much harder to hedge risk. They also mean that this shock, if it persists or worsens, will inflict larger overall negative wealth effects (capital losses) than more traditional "risk-off" events. In countries like the US, where financial wealth effects contribute significantly to household consumption, it creates an additional downside risk to

² See March 2026 macroeconomic projections from the Fed, ECB, Banque de France and OECD. Our own work that milder scenarios for the evolution of the war deliver relatively limited growth impacts and transitory inflation increases. However, the now more likely adverse scenarios have more severe macroeconomic implications.

TTF Gas Futures Prices, EUR/MWh

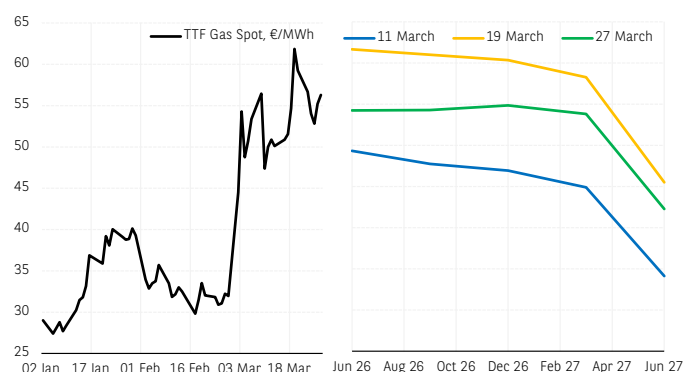


CHART 2

SOURCE: BLOOMBERG, BNP PARIBAS

Brent Crude Oil Futures Prices, USD/bbl

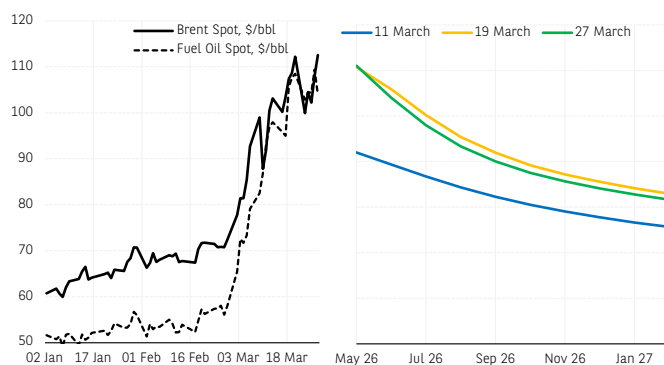


CHART 3

SOURCE: BLOOMBERG, BNP PARIBAS

growth. In Europe, for better or worse, this effect is insignificant in most countries, however.

The muted de-risking is also consequential, but not all negatively. As long as the possibility of scenarios that inflict only manageable growth costs persists, it is much preferable that financial markets do not amplify the headwinds from higher energy prices and more hawkish central banks. This would happen if we saw a spike in risk aversion that makes it prohibitive for corporates or sovereigns to access financing (or refinancing), and that pummels portfolios, potentially leading to systemic financial stability problems. Likewise, contracts for future oil prices have been assuming a relatively short-lived energy shock, and even spot prices have remained much below prices for physical delivery at key oil trading ports (see charts above). Given the overwhelming impact these prices have had on all other financial markets since the start of the war, this moderation is a good thing, a shock absorber of sorts.

Nevertheless, at some point, the future economic realities priced by markets and those delivered by facts on the ground will need to converge. At that point, we will either breathe a collective sigh of relief or have a rude awakening.

Isabelle Mateos y Lago

Charts: Tarik Rharrab



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EcoFlash

French public finances: a positive outcome for 2025 to be confirmed in 2026

According to INSEE, the French public deficit in 2025 improved by 0.7pp at 5.1% of GDP (the government targeted 5.4%). This improvement is due to the rebound in the rate of compulsory levies (CL). The public debt ratio is also below projections (115.6% versus 116.2%), although its increase in 2025 was as expected (+3pp). This evolution, along with the repercussions of the shock in Iran, particularly regarding interest rates, suggest to stick with fiscal consolidation efforts in 2026. The deficit is expected to benefit from a better starting point, the anticipated increase in the CL included in the 2026 budget, and the likely favourable impact on revenue from higher nominal growth in 2026. However, the government's leeway to support households and businesses in front of the inflationary shock is more constrained than in 2021–23. This support is therefore likely to be more limited this time around.

A relatively positive surprise in 2025. The public deficit was lower than expected in 2025, standing at 5.1% of GDP (compared with 5.4% according to the government's projections for 2025 and following 5.8% of GDP in 2024). The reduction in the deficit is due to the **rise in the CL – reaching 43.6% in 2025 compared with 42.8% in 2024** – linked to the tax increases included in the 2025 Finance Law. At the same time, public expenditure has risen to 57.2% of GDP, compared with 57% in 2024. The rise in some expenditure (interest payments, defence, policing, justice) has, in fact, offset the reductions, particularly in central government expenditure. **As for public debt, the surprise is also positive, with the figure standing at 115.6% of GDP in 2025** (compared with 115.9% according to the government's forecasts; 116.2% according to ours). However, this improvement stems mainly from an upward revision of nominal GDP in 2024 and 2025, resulting in a decrease in the debt ratio for 2024 to 112.6%, compared with the 113.2% previously estimated. However, the increase in the public debt ratio between 2024 and 2025 is +3pp (as we had anticipated; +2.7pp in the government's forecast).

Before the war in Iran, 2026 had got off to a promising start. The draft budget, which was approved in February, once again prioritize the increase of the CL to reduce the public deficit. We anticipate a further rise in the CL-to-GDP ratio, which is expected to converge towards its pre-Covid average (44.4%). Expenditure is also expected to rise due to the increases in defence spending, higher interest charges and contributions to the EU budget. **The war in the Middle East is expected to have an impact on public finance.** Based on the assumption that oil prices stabilise around \$100 per barrel during the 2nd quarter, followed by a relative decrease thereafter (with prices remaining approximately \$10 above pre-conflict levels by year-end), inflation is projected to increase by 1 pp in 2026, while real GDP growth is expected to fall by 0.3 pp. However, according to our calculations, public finances are more sensitive to changes in nominal growth, which is expected to be higher, than to real growth. Over the past fifteen years, an additional 1 pp of nominal growth has led to a nearly EUR 10 billion improvement in the deficit (0.3% of GDP). **Excluding support measures, the public deficit could therefore be reduced by nearly 0.2 percentage points of GDP. This would make it easier to meet the target of 5% of GDP, although this assessment is subject to significant uncertainties.**

Beware of complacency. A notable rise in inflation is expected. We estimate that fuel prices rose by nearly 17% in March, contributing an additional 0.6 percentage points to headline inflation. **The government has therefore announced its intention to implement support measures in response to the energy shock, which are expected to be more modest in scale than in 2022**, primarily due to limited flexibility in achieving the 5% public deficit target. For the time being, the energy shock is less widespread than it was from 2021 to 2023. Electricity prices are expected to remain stable, as gas is not required for its generation, unlike in 2022. The rise in gas prices is occurring at the end of winter, contrasting with the rise that took place just before winter in 2021. Furthermore, before the outbreak of the war in Iran, the French economy was not experiencing any inflationary pressures, with harmonised inflation recorded at 1.1% y/y in February, roughly its pre-Covid level. **The conflict in Iran has also resulted in a rise in interest rates to a level slightly higher than we had anticipated:** 3.87% for the 10-year OAT on 27 March, compared with 3.65% at the end of March according to our pre-conflict forecasts (so, about 20 basis points higher). Although a rise in interest rates has little immediate impact on the deficit and debt-to-GDP ratios due to the debt's long average maturity (8½ years), a sustained rise could require additional fiscal measures to bring the public deficit back down to 3% of GDP by the end of the decade. While the interest burden is projected to reach 2.5% of GDP in 2026 and 3.7% in 2030, according to our forecasts, a sustained increase of 100 basis points in all interest rates (significantly above current levels) would result in an additional 0.1pp of GDP in interest payments after one year (and 0.5pp after five years). It is therefore crucial for France to meet its budget deficit target and, as far as possible, refrain from using its potential leeway (lower public deficit in 2025, additional revenue in the event of a rebound in nominal growth in 2026). Demonstrating that the consolidation effort is continuing year after year would help to limit the widening of the spread with Germany.

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EUROPEAN MANUFACTURING SECTOR IS HEADING INTO THE 2026 ENERGY CRISIS WITH A LOWER RATIO OF NON-PERFORMING LOANS THAN IN 2022

Thomas Humblot

During her hearing on 18 March 2026 before the Committee on Economic and Monetary Affairs of the European Parliament, Claudia Buch (Chair of the Supervisory Board of the European Central Bank) highlighted the absence of decline in the quality of bank assets and the stability of non-performing loan ratios. These ratios are a good indirect indicator of the financial health of borrowing corporations in the European Union (EU), particularly in the manufacturing sector. When viewed from this perspective, the proportion of firms in this sector facing severe financial difficulties appears to be lower at the start of 2026 than at the start of 2022. This suggests, by extension, that these firms are in better financial health and have a greater ability to absorb shocks. Nevertheless, comparing the current energy shock with the previous one poses difficulties. Apart from the uncertainty surrounding the duration and scale of the 2026 shock, the effects of the 2022 shock were largely mitigated by public and private support measures. This time, such measures are likely to be more limited, given budgetary constraints.

The manufacturing sector's non-performing loan ratio has generally declined across the EU since 2019

	Q2 2019	Q4 2019	Q2 2020	Q4 2020	Q2 2021	Q4 2021	Q2 2022	Q4 2022	Q2 2023	Q4 2023	Q2 2024	Q4 2024	Q2 2025	Q4 2025
Germany	2,8%	3,4%	3,3%	4,1%	3,8%	3,2%	3,5%	3,9%	4,2%	4,5%	4,5%	5,0%	4,5%	4,3%
Austria	3,8%	3,5%	3,3%	3,8%	3,9%	3,7%	3,7%	3,7%	3,2%	3,4%	3,1%	4,5%	3,4%	3,6%
Belgium	3,0%	4,3%	4,0%	4,9%	4,3%	3,8%	3,6%	3,6%	3,8%	3,7%	3,6%	3,4%	3,7%	3,9%
Bulgaria	8,0%	6,5%	7,2%	6,5%	6,1%	4,4%	3,1%	2,7%	2,1%	2,9%	2,8%	3,0%	3,1%	3,5%
Cyprus	31,7%	28,0%	19,9%	14,0%	13,1%	3,8%	2,8%	3,2%	2,8%	2,1%	2,3%	1,9%	1,4%	0,7%
Croatia	17,6%	16,0%	16,0%	15,6%	14,0%	8,6%	7,2%	6,6%	5,5%	5,5%	5,1%	5,9%	5,6%	5,1%
Danmark	3,1%	3,7%	2,8%	4,0%	3,4%	1,9%	1,5%	1,3%	1,2%	1,8%	1,8%	1,9%	1,9%	2,2%
Spain	5,1%	4,8%	4,4%	4,5%	4,6%	4,0%	3,4%	3,2%	3,1%	3,2%	3,0%	3,1%	3,0%	2,9%
Estonia	3,1%	3,1%	3,7%	2,1%	1,7%	1,4%	1,6%	1,8%	2,2%	3,1%	4,3%	3,1%	5,1%	6,4%
Finland	4,9%	4,6%	5,6%	3,3%	3,2%	3,0%	2,8%	1,9%	2,3%	2,6%	2,0%	1,7%	2,2%	1,8%
France	4,5%	4,2%	4,5%	5,0%	4,9%	4,1%	4,2%	3,9%	3,9%	3,9%	4,2%	4,3%	3,9%	4,0%
Greece	43,8%	39,2%	33,9%	31,6%	21,0%	12,6%	8,1%	6,7%	6,4%	5,3%	5,5%	4,4%	3,8%	3,3%
Hungary	6,7%	6,1%	5,4%	5,2%	4,6%	4,2%	4,8%	4,2%	3,8%	6,9%	6,5%	6,8%	5,7%	7,9%
Ireland	2,4%	1,6%	1,7%	1,5%	1,4%	1,6%	2,0%	2,8%	2,9%	2,3%	1,8%	2,0%	1,9%	2,7%
Italy	10,3%	9,1%	7,8%	6,1%	5,6%	4,2%	3,1%	3,1%	3,1%	3,4%	3,7%	4,0%	4,1%	4,1%
Latvia	10,6%	10,7%	9,5%	8,9%	9,4%	1,4%	1,5%	1,3%	2,2%	2,0%	2,2%	1,5%	1,4%	3,7%
Lithuania	5,7%	4,7%	5,1%	5,3%	3,2%	2,1%	1,8%	0,6%	0,6%	3,4%	3,3%	2,8%	0,5%	1,7%
Luxembourg	2,4%	2,4%	3,5%	3,5%	2,5%	2,2%	5,9%	7,3%	8,6%	3,5%	3,4%	4,0%	4,1%	5,6%
Malta	4,9%	6,4%	6,9%	13,8%	13,9%	15,6%	9,8%	8,0%	8,4%	6,7%	12,3%	6,9%	7,5%	7,7%
Netherlands	3,5%	4,5%	4,8%	5,1%	4,5%	3,8%	3,5%	3,2%	3,5%	3,1%	3,1%	4,0%	3,8%	3,6%
Poland	7,1%	8,3%	8,0%	8,8%	8,8%	7,3%	6,5%	5,5%	5,2%	5,4%	5,1%	10,5%	11,0%	10,7%
Portugal	10,5%	9,0%	8,5%	7,8%	6,0%	6,9%	7,4%	6,9%	7,1%	5,2%	5,1%	4,9%	5,6%	5,6%
Romania	8,5%	8,7%	11,9%	11,1%	10,8%	9,2%	7,7%	5,2%	4,4%	4,6%	4,2%	4,0%	5,1%	6,0%
Slovakia	1,9%	2,2%	2,5%	1,9%	2,5%	2,2%	2,2%	1,6%	1,4%	2,1%	2,3%	2,8%	2,7%	3,6%
Slovenia	4,9%	3,6%	2,9%	3,5%	2,8%	2,3%	1,9%	1,5%	2,0%	3,2%	3,7%	3,3%	3,6%	9,8%
Sweden	2,8%	3,2%	3,2%	2,3%	1,6%	1,3%	1,5%	0,9%	1,0%	1,0%	1,0%	1,6%	1,0%	1,3%
Czechia	4,6%	5,0%	5,2%	5,7%	5,3%	5,2%	5,6%	5,4%	4,3%	4,2%	3,9%	3,6%	3,6%	3,5%
European union	5,7%	5,5%	5,6%	5,5%	5,0%	4,0%	3,6%	3,5%	3,5%	3,6%	3,7%	4,0%	3,8%	3,8%

Reading note: For each country individually, the highest non-performing loan ratio in the manufacturing sector during the observation period is shown in the darkest shade of red. The lowest ratio is shown in the darkest shade of green

SOURCE: EBA, BNP PARIBAS

Lower non-performing loan (NPL) ratios indicate a smaller proportion of firms in a severely deteriorated situation

These ratios have the advantage of being available for each sector of activity. Furthermore, they enable the difficulties faced by certain firms to be standardised to a certain extent, by assessing their economic significance within the total number of firms (whether in difficulty or not). In most individual European Union countries¹, the NPL ratio for the manufacturing sector now stands at a historically low level (see heatmap: cells shaded in the darkest green). Furthermore, the highest ratios (shaded in the darkest red) at the start of the observation period typically recorded the sharpest declines. In the majority of cases, NPL ratios were reduced by more than half between Q2 2019 and Q4 2025. In cases where they increased during this latter period, the increases generally remained modest. Overall, the decline in the manufacturing sector's NPL ratio in most European countries

1 Comparing the level or extent of variation in the NPL ratio across countries is of limited interest, given the wide range of national specificities (proportion of floating-rate loans, laws governing companies in difficulty, etc.).

tends to indicate improved financial health. The manufacturing sector's initial ability to withstand the energy shock linked to the 2026 war in Iran is therefore, in theory, greater than it was at the onset of the 2022 war in Ukraine.

An energy shock and the corresponding mitigation measures remain uncertain in terms of their scale and duration

However, the manufacturing sector's greater ability to absorb shocks, as indicated by NPL ratios, does not in itself enable us to predict the impact of the 2026 shock, particularly when compared with the 2022 shock. In response to the latter, many EU firms did indeed benefit from public and private support measures, which were in addition to those already put in place during the COVID-19 pandemic (moratoria on loan repayments, deferrals of social security contributions, state guaranteed loan schemes, etc.). This helps to explain why the manufacturing sector in EU countries has, generally speaking, absorbed the 2022 shock well, as evidenced by the stability or minimal increases in NPL ratios. The scale and duration of any potential public and private mitigation measures in response to the current energy shock are shrouded in as much uncertainty as the shock itself. However, orders pertaining to defence, public infrastructure and AI are expected to provide new sources of resilience² which, combined with the European manufacturing sector's initially robust financial health, could help limit the impact of the 2026 energy shock on business bankruptcies and unemployment.

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² [The nowcasts, updated scenario and forecasts of the Economic Research - 23 March 2026.](#)



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La banque
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CENTRAL EUROPEAN ECONOMIES ARE PERFORMING WELL DESPITE SIGNIFICANT DEMOGRAPHIC CHALLENGES

Cynthia Kalasopatan Antoine

Diverse demographic situations, mostly unfavourable

Growth in population vs labour force between 2004 and 2025

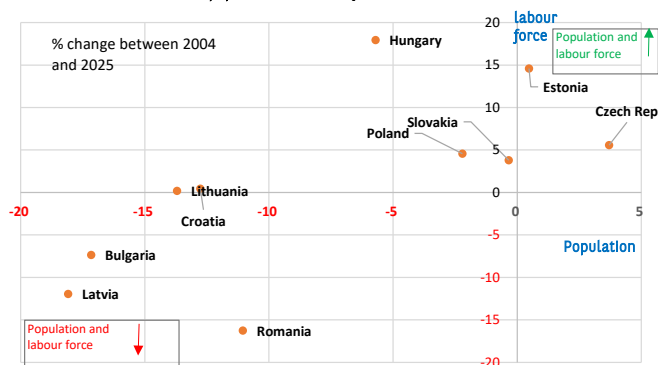


CHART 1

SOURCE: EUROSTAT, NATIONAL STATISTICS, CALCULATIONS BNP PARIBAS

Note: Data for the working-age population is available up to Q3 2025. For the total population, data is available for Poland, Hungary and Slovakia in 2025; for other countries, data is projected for 2025.

Central Europe's gain in market share in Germany

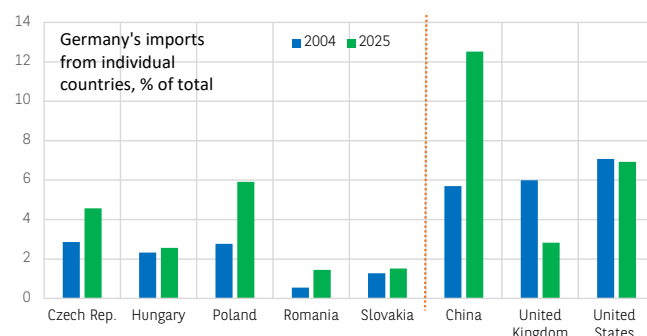


CHART 2

SOURCE: STATISTISCHES BUNDESAMT, CALCULATIONS BNP PARIBAS

Adverse demographic trends. For several years, Central Europe has been facing a marked demographic decline. Its magnitude varies from one country to another (see *Chart 1*). The total population decline from 2004 to 2025 ranges from -0.3% in Slovakia to -17.2% in Bulgaria. The Czech Republic is the only country in the region to have seen a population increase over the same period. The working-age population (ages 15–64) is also declining. However, the situation is less unfavourable in Hungary, Poland, the Czech Republic and Slovakia, while Romania and Bulgaria are experiencing a more significant decline due to migration patterns. Net migration flows were negative for Bulgaria until 2019 and for Romania until 2021. However, this trend has reversed in recent years. Recently, the arrival of Ukrainian refugees has eased the pressure on the working-age population, especially in Poland and the Czech Republic. Ukrainian refugees now account for around 5% of the workforce in Poland.

Medium-term concerns. By 2030, demographic trends are expected to deteriorate further, raising concerns about potential upward wage pressures, a loss of competitiveness and a structural weakening of potential growth.

Additional assets to underpin growth. Despite demographic headwinds, the economies of Central Europe have fared rather well so far, primarily due to several key factors:

- 1) The influx of EU funds (approximately EUR 430 billion between 2004 and 2024, or 20% of GDP). Support from EU funds is expected to continue, and these countries will remain net beneficiaries in the medium term.
- 2) Over the past two decades, productivity growth has outpaced wage costs. This has enabled Central European countries to gain market share in Germany (see *Chart 2*), as well as to achieve notable economic convergence with developed economies.
- 3) A skilled workforce (secondary and higher education graduates account for around 90% of total employment).

Certain strategic sectors, such as electric mobility, AI and defence, are projected to continue attracting foreign direct investment. Hungary and Poland aim to become regional powerhouses in electric mobility, particularly through the production of batteries for electric vehicles. When it comes to AI, Central European countries already have high-performance digital infrastructure, and governments in the region are implementing highly ambitious strategies (see the sections on [Hungary](#) and [Poland](#) in our 'Emerging Economies EcoPerspectives from March 2026'). They have therefore drawn up national plans focused on AI to position their respective countries as key investment hubs.

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